

Collapse of Middle-Class Work in India: A Goa Case Study

Pearl Bipin Pulickal

June 2025

Abstract

This paper analyzes the accelerating collapse of middle-income employment in India under the pressure of AI automation, with a special focus on the lived realities in Goa. Despite claims of a growing tech economy, wages have stagnated or declined, and employment quality has deteriorated. Junior software engineers, designers, and even bank managers face exploitation, burnout, and underpayment, while traditional blue-collar professions often earn more than college graduates. We examine this inversion of value in the Indian job market through global statistics, policy trends, and first-hand case studies from Goa.

Keywords: AI displacement, Indian job market, Goa economy, inequality, software engineer wages, brain drain, automation crisis

1 Introduction

The global labor market between 2020 and 2025 has seen an unprecedented shift. With generative AI tools such as ChatGPT and Gemini automating tasks once considered intellectually intensive, many white-collar professionals now face redundancy. A Goldman Sachs report estimates that up to 300 million jobs worldwide could be automated by AI by 2030.¹

India's youth, especially engineering and MBA graduates, face a bleak horizon. Despite degrees from elite institutions, many find themselves unemployed or working for

¹Goldman Sachs, "The Future of Work: How AI Could Impact the Global Job Market," 2023.

free under exploitative internship arrangements.²

2 India's Job Market in Crisis

2.1 The AI Shock to Employment

Generative AI now affects 65% of software development tasks in India.³ Entry-level roles are vanishing. Even data entry, content writing, design, and code debugging have become automatable.

Multinational companies increasingly expect one programmer to do the job of three—using AI assistance as justification for layoffs. Ironically, productivity gains have not translated to better compensation. Instead, 77% of Indian professionals report feeling under-skilled in technologies demanded by their employers.⁴

2.2 Real Wages Are Falling

Between 2017 and 2024, real wages for salaried Indian workers either stagnated or declined. In urban areas, earnings rose marginally from 12,847 to 13,006—barely keeping up with inflation.⁵ Meanwhile, Nifty 500 companies reported record-breaking profits, with the profit-to-GDP ratio hitting a 15-year high of 4.8%.

2.3 Collapse of Formal Protections

The informal sector now dominates employment. Gig workers increased from 2.5 million in 2012 to 6.8 million by 2020.⁶ They face no job security, zero benefits, and extreme mental health challenges—particularly for women.

²India Today, "Top IITs see rising unemployment despite record number of graduates," 2024.

³NASSCOM, "Future of Jobs in India: 2025 Outlook," 2024.

⁴World Economic Forum, "Reskilling Revolution Report," 2024.

⁵International Labour Organization, Global Wage Report, 2024.

⁶Brookings India, "Gig Economy in India," 2023.

3 The Goa Case Study

3.1 Ground Realities

Goa, a small yet economically diverse state, reveals the disturbing paradox of India's modern economy. Junior software engineers earn 25,000–35,000/month after years of study and intense workweeks—often 12-hour days and unpaid weekends.

In contrast, local tradespeople such as carpenters, plumbers, and even street vendors (pani puri sellers, taxi drivers) report higher net incomes. A self-employed food vendor in Panjim earns 2,000–3,000 per day, surpassing many engineers and doctors.

3.2 Decline of White-Collar Roles

One bank manager in North Goa, employed for over 10 years, claimed his salary dropped to 35,000/month due to “corporate restructuring.” Historically, such roles paid 60,000–80,000. The erosion of pay reflects broader trends in private banking nationwide.

3.3 Internships Turned Exploitation

Students from reputed universities in Goa often pay 5,000–20,000 for internships. These internships offer no stipend, no mentorship, and involve menial work. They are marketed as “experience builders,” exposing the desperation caused by the employment crisis.

4 Data Visualization

Profession	2017	2024
Entry-level Software Engineer	22,000	23,500
Junior Bank Manager	45,000	35,000
Pani Puri Vendor (per day)	1,800	2,500
Freelance Graphic Designer	250/hr	300/hr

Table 1: Selected profession earnings over time.



Figure 1: Comparison of typical monthly incomes in Goa by profession.

5 International Comparisons

While India faces a particularly stark reality, the crisis is global. In the US, white-collar unemployment rose to 4.1% in 2024 from 3.1% the previous year. The tech sector alone lost over 175,000 jobs between 2024 and early 2025.⁷

Meanwhile, the gig economy now comprises up to 12% of global employment, often lacking healthcare, retirement, or stability. Platforms offer convenience at the cost of labor rights.

6 Reversal of Value and Status

The Indian job market has flipped traditional value perceptions. The highest-paid professionals today are not always the most educated. One irony: a bartender in a popular South Goa shack earns 80,000–1,00,000/month during peak tourist season—triple the salary of many engineers.

Doctors in smaller clinics report incomes below 40,000/month. Graphic designers, especially freelancers, face constant pressure to work at 300/hour or less, while AI tools

⁷TechCrunch Layoff Tracker, 2025.

like Midjourney and Canva erode demand for entry-level roles.

7 Brain Drain and Desperation

Frustrated by poor wages and degrading work conditions, many skilled youth are fleeing India. The number of Indians giving up citizenship hit a record high in 2024.⁸

Elite graduates from IITs and IIMs now aim to migrate not just for higher salaries, but for dignity, intellectual stimulation, and rights-based work cultures.

8 Policy Failures and Structural Barriers

Despite skilling missions and job schemes, systemic barriers persist:

- Most employment is informal, with 90% of jobs lacking contracts or protections.
- Labor laws often encourage short-term contracts and gig work.
- Capital-intensive growth has limited job creation.
- Gender pay gaps and caste-based hiring discrimination persist.

9 Recommendations

1. **AI Impact Tax:** Impose levies on companies using generative AI at scale to fund a reskilling and job guarantee program.
2. **Right to Paid Internships:** Legally prohibit unpaid or pay-to-work internships.
3. **Incentivize Small Enterprises:** Support local manufacturing, services, and tourism-related jobs with tax breaks and digital tools.
4. **Guaranteed Minimum Income:** For tech workers displaced by automation, provide a short-term universal income bridge.
5. **Wage Transparency Laws:** Mandate public disclosure of average salaries by sector and role.

⁸Ministry of External Affairs, "Citizenship Renunciation Report," 2024.

10 Conclusion

The Indian labor market is experiencing a deep identity crisis. Education, once a ticket to upward mobility, is no longer enough. In places like Goa, old economic hierarchies have inverted, and AI has accelerated this collapse. Policymakers must move beyond slogans and implement structural protections before the middle class disappears entirely. Otherwise, the dream of a “digital India” may become a dystopia for millions.

References

- [1] Goldman Sachs. “The Future of Work: How AI Could Impact the Global Job Market.” 2023.
- [2] International Labour Organization. “Global Wage Report.” 2024.
- [3] NASSCOM. “Future of Jobs in India: 2025 Outlook.” 2024.
- [4] World Economic Forum. “Reskilling Revolution.” 2024.
- [5] Brookings India. “Gig Economy in India.” 2023.
- [6] India Today. “IIT Grads and Jobless Futures.” 2024.
- [7] TechCrunch. “Layoff Tracker.” 2025.
- [8] Ministry of External Affairs. “Citizenship Renunciation Report.” 2024.